REPORT TO SHAREHOLDERS:

Management's Discussion and Analysis

"Canada Bread posted its twelfth consecutive quarter of year-over-year growth in revenue and profitability," said Richard Lan, President and Chief Executive Officer. "The momentum of this growth, combined with the potential to make Canada Bread a global bakery company through the acquisition of Maple Leaf Bakery, makes this a very exciting period for our company."

In accordance with changes in generally accepted accounting principles, the Company no longer amortizes goodwill, resulting in a positive impact on 2002 earnings. The effect of this is explained more fully in note 1 to these financial statements. All comparative percentage increases noted here are after taking account of this change.

Sales for the quarter were $272.6 million, a 76% increase compared to last year. The increase in sales was principally due to the consolidation of results from acquisitions completed subsequent to the third quarter of last year, as well as strong underlying growth in both the fresh and frozen bread operations. Excluding the contribution from acquisitions, sales increased by approximately 7% quarter-over-quarter. Sales for the first nine months increased 73% to $759.4 million (approximately 8% excluding acquisitions) compared to $439.9 million for the prior year period.

Earnings from operations for the third quarter increased by 93% to $19.2 million compared to $9.2 million last year ($10.0 million before goodwill amortization), while year-to-date earnings from operations increased 95% to $46.8 million compared to $21.9 million last year ($24.1 million before goodwill amortization). In addition to the contribution from acquisitions, earnings increased across all business lines, both domestic and export. A continued focus on cost reduction and improved operating efficiencies, supported by recently launched Six Sigma initiatives, also contributed to increased earnings for the period.

Net earnings for the third quarter increased by 68% to $11.9 million ($0.55 per share), compared to $6.4 million ($0.30 per share) last year ($7.1 million last year or $0.33 per share before goodwill amortization). Earnings for the first nine months were $28.3 million or $1.32 per share compared to $15.7 million or $0.73 per share for the prior year period.

The increase in net earnings reflects the strong improvement in operating earnings. Other income for the third quarter was reduced by $1.2 million for the prior year period, as Canada Bread no longer equity accounts for Multi-Marques Inc. after the acquisition date. Interest expense for the quarter increased due to higher debt levels arising from the acquisition of Multi-Marques Inc. last year.

Cash flow from operating activities for the third quarter increased sharply to $49.2 million compared to $21.0 million for the same period last year, due to increased earnings and lower investments in working capital.

In the fourth quarter of 2001, Canada Bread acquired the remaining 75% interest in Multi-Marques Inc., to hold 100%. As of September 30, 2002, the Company had committed to a restructuring plan for the business and has completed the purchase cost accounting for this acquisition. Included in accounts payable and accrued charges at September 30, 2002 are accruals of $5.0 million related to restructuring and rationalization costs.

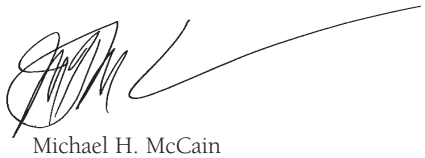
On July 18, 2002 the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia. The initial purchase price was $11.0 million. Additional consideration, up to a maximum of $11.0 million may be payable, depending on the attainment of certain financial targets, up until February 28, 2004.

On October 9, 2002, Canada Bread and Maple Leaf Foods announced an agreement in principle whereby Canada Bread would purchase all of Maple Leaf Foods' other bakery operations for $266 million, inclusive of debt assumption. Completion of the transaction is subject to finalization of documentation and approval by a majority of Canada Bread's shareholders, excluding Maple Leaf Foods. Canada Bread expects to mail an information circular to its shareholders in early November and to hold a meeting of its shareholders in early December. If approved at that meeting, the transaction would be scheduled to close in December 2002. The transaction is expected to be accretive to Canada Bread's earnings per share.

The Company declared a dividend of $0.06 per share payable on January 2, 2003 to shareholders of record on December 13, 2002.

For the Board of Directors,

Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman